

The HMA Group

To:
Alfatherm S.p.A.
Via Ambrogio Colombo, 275
21055, Gorla Minore (VA)
and

OpenGate Capital Management, LLC
c/o
Fante Advisory S. r. l.
Piazza Borromeo,
12 20123, Milano
(MI)

Date: 21th April 2023

Dear Sirs

Re: Binding Offer

Further to our Letter of Intent delivered on 29 November 2022 and our recent meetings and interactions, we are pleased to submit you this binding offer (the “**BO**”) for the acquisition of the entire share capital (the “**Participation**”) of Alfatherm S.p.A. (the “Company”) and all its subsidiaries and/or controlled companies (the “**Proposed Transaction**”) to be carried out by an entity designated and controlled by HMA Group at the terms and conditions set forth below .

A. Profile and interest

The bidding entity is the HMA Group (“HMA”), a private partnership of French and Brazilian executives and investors specialized in turnaround of distressed businesses. HMA Group is investing in Latin America through FORS Capital, a Private Equity Firm registered under the Brazilian law, with over 20 acquisitions and divestments completed throughout the past 14 years. In Europe, HMA Group operates through special purpose vehicles, and is based in Luxembourg.

The HMA Group was formed by a group of self-funded individuals with Executive and Investment Banking backgrounds that, having enjoyed success in previous transactions, actively seek business opportunities with a value-oriented approach and with a clear industrial strategy to support its value creation thesis devised for each transaction.

The HMA Group is structured similarly to a Private Equity fund, with a portfolio of businesses jointly owned and managed.

B. Reasons of interest, Continuity plan and Transaction Structure

The main reason of interest is that Alfatherm presents synergies with current businesses that we own and operate.

Our business plan was presented recently and clearly lays out our short and medium term approach to recovering Alfatherm financially and operationally. HMA envisages the following transaction structure:

- (i) HMA will buy a 100% stake in Alfatherm or its controlling vehicle Alfamito;
- (ii) Based on the information provided by the shareholders and its advisors to date and subject to the terms and conditions to be set out in the definitive transaction agreements to be negotiated in good faith, the proposed price for the Proposed Transaction is of EUR 1.00 (One Euro). The current price considers a cash position of circa [300.000 €] deemed necessary to operate the Company after closing, the maintenance of current lines of credit, and receivables discount transactions available and anticipates positive outcomes in negotiations detailed in item C. (i). This proposal is premised upon the business being run in the ordinary course until the closing of the Proposed Transaction.
- (iii) The transaction would be consummated as a stock purchase of an entity that will be the sole owner of the assets and operations of Alfatherm.

C. Conditions

The completion of the proposed transaction will be subject to the following conditions precedent:

- (i) Completion and positive outcome, of previous negotiations with NPL funds and banks.
- (ii) Execution of a mutually acceptable Share Purchase Agreement;
- (iii) The confirmation that Alfatherm and-or its subsidiaries are the legal beneficial owner of all licenses, consents, approvals, etc. necessary to operate their respective business;
- (iv) The confirmation that the Company and-or its subsidiaries are the owners of the trade mark, databases, Internet dominion and other related assets that will be transferred through the transaction;
- (v) No occurrence of any material or adverse change in the financial and operational condition or the prospects of Alfatherm;
- (vi) Confirmation that Alfatherm has received all governmental and regulatory approvals, if any;
- (vii) Presentation of audited statement 2021 and pre-audited statement 2022 by the company.
- (viii) cash position of circa [300.000 EUR] at closing, with [300.000 EUR] being agreed by the parties

D. Timetable

We each agree to proceed with the preparation and negotiation of formal documentation with a view to the proposed transaction contemplated by this BO being completed with all reasonable speed.

The Transaction shall be realized, by carrying out the following steps:

- (i) within 7 days of the delivery of this BO (the “**Acceptance Date**”) acceptance of this BO by the Company and the Shareholder;

- (ii) within 30 days from the Acceptance Date (the “**Longstop Date**”) the execution of the Contractual Documents

Once the Contractual Documents are executed, the Company will immediately grant the Investor with full access to the Company. After the acceptance date, HMA will be granted access to the bank account statements on a weekly basis with explanations from the Company regarding all cash inflows and outflows at the level of details deemed necessary by HMA to monitor the cash position.

The proposed transaction shall be completed tentatively by May 31st, 2023.

E. Costs

We shall each be responsible for our own legal, financial advisory and other professional costs in connection with the preparation and negotiation of the definitive transaction agreement to effect the proposed transaction.

F. Nature and validity of the BO

This BO shall be binding, valid and irrevocable until the Acceptance date and, if accepted in writing by the Acceptance Date by the Company and the Shareholder, shall be valid until 30 days from the Acceptance Date (the “**Final Term**”).

This BO is subject to the conclusion of the negotiation of the definitive transaction agreements and the satisfactory resolutions to the conditions precedent as per section C above, and represents a legally binding offer in respect of the proposed transaction in respect of which anyone can issue an acceptance.

The following provisions are also of legally binding effect:

(a) Confidentiality

HMA and the seller agree to keep the contents of this letter and the fact of our negotiations confidential and not to discuss the detail or subject matter of this letter (including the terms of this indicative offer) with any third party (other than their respective employees or advisors that reasonably need to be informed in order to assist the Company in assessing the contents of this BO, the Shareholder and bankers, as appropriate) without the prior written consent of the other party. Notwithstanding the above, either party shall be entitled to make such disclosures and/or announcements as is required by law or any regulatory authority.

(b) Proper law and jurisdiction

This letter shall be governed by the law of the Republic of France and the parties hereto submit to the exclusive jurisdiction of the Court of Paris, France . The above paragraph (a) of this clause is of binding legal effect. Please note that any correspondence pre-dating this letter is superseded by this letter and is therefore of no force or effect.

(c) Non-Reliance

The parties agree that if the transaction contemplated herein fails to be completed and the closing conditions are not satisfied, regardless of the reasons for such failure, none of the parties, in reliance

on this BO and/or the negotiations, shall be entitled to any claims for damages or other compensation from the other.

(d) Exclusivity

By countersigning this BO the Company shall, and shall cause the Shareholder, to grant an exclusivity period to the Investor of 30 days from the Acceptance Date (the “**Exclusivity Period**”) and, therefore, for the entire Exclusivity Period the Company shall and shall cause the Shareholder to refrain from carrying out, continuing, soliciting and/or entering in new negotiations, nor sell the business to other interested parties.

HMA looks forward to being able to conclude a satisfactory transaction as soon as possible and we look forward to hearing from you. We would be grateful if you would acknowledge and agree the terms set out in this letter by signing and returning to us the enclosed duplicate by no later than 7 days from the delivery date of this BO. If not received until this date, the offer will cease to be valid.

Yours sincerely

For HMA Latam Investments LLC



Stéphane David OLIVO

Managing Director

Approved , date:

For OpenGate

Name:

Title: